

always appears to be heading.

Among all the folk tales of successful short sellers are the horror stories of shorters who watched helplessly as their favorite lousy stocks soared higher and higher, against all reason and logic, forcing them into the poorhouse. One such unfortunate was Robert Wilson, a smart man and a good investor, who a decade or so ago shorted Resorts International. He was right, eventually—most shorters are right, eventually—didn't John Maynard Keynes say in the long run “we all are dead”? In the meantime, however, the stock advanced from 70 cents to \$70, a modest 100-bagger, leaving Mr. Wilson with a modest \$20 or \$30 million loss.

This tale is useful to remember if you're contemplating shorting something. Before you short a stock, you have to have more than a conviction that the company is falling apart. You have to have the patience, the courage, and the resources to hold on if the stock price doesn't go down—or worse, goes up. Stocks that are supposed to go down but don't remind me of the cartoon characters who walk off cliffs into thin air. As long as they don't recognize their predicament, they can just hang out there forever.